

Question 22 · Unit 2 · 8 Marks

Explain performance appraisal as an HRD subsystem and state its importance for employee development.

Answer

As an HRD subsystem, performance appraisal is a developmental process of reviewing results and behaviours, identifying learning needs, and planning improvement—not merely a confidential rating for salary.

- 1. Role analysis and goal setting:** Clarifies what is expected, which is the starting point of development.
- 2. Identification of strengths and gaps:** Appraisal data feed training needs and coaching agendas.
- 3. Feedback:** Employees cannot improve what they do not understand; appraisal institutionalises feedback.
- 4. Development planning:** Jointly agreed IDPs (individual development plans) convert appraisal into action.
- 5. Motivation:** Recognition of achievement and a fair review process support higher-order motivation.
- 6. Data for other subsystems:** Feeds potential appraisal, career moves, and training calendars.
- 7. Manager as developer:** The appraisal discussion trains bosses to take HRD responsibility.
- 8. Importance:** Without developmental appraisal, HRD lacks a regular, organisation-wide mechanism to diagnose and guide employee growth.

***Conclusion.** Thus performance appraisal is central to HRD because it continuously connects actual work to learning and future capability.*